

Elimination and Benefit Periods

With both types of disability insurance, there's an elimination period, which is the period of time after you become unable to work before you can begin receiving benefits under the policy. A short-term disability policy may have an elimination period of one to two weeks for illness or a shorter time for accidents. Long-term disability elimination periods are typically at least thirty days and more commonly ninety days.

If you become disabled, you'll receive benefits until you recover or reach the maximum benefit provided by your policy. Short-term disability policies pay benefits for a shorter period of time, from six weeks to two years. Long-term disability policies pay benefits for several years or until the age of sixty-five (or longer). The shorter the elimination period and the longer the benefit period, the higher the premium will be. Most policies replace only 60 percent of your income, up to a maximum of \$5,000 to \$10,000 per month.

Definition of Disability

The best policies will have a definition of disability that includes the inability to perform the major duties of your own occupation. Under these policies, if you're unable to perform your major duties, you can go to work in a different occupation that you *are* able to perform and still collect your disability pay. Less expensive or lower-quality policies won't pay benefits unless you're unable to do any work you're reasonably suited to do, or they'll offset your monthly benefit check against any income you're earning elsewhere. There are three types of long-term disability policies:

1. **Noncancelable and guaranteed renewable:** The insurance company guarantees that you'll be able to renew the policy for as long as you wish at the same premium and for the same monthly benefits, regardless of any changes in your occupation or income.
2. **Guaranteed renewable:** The insurance company can't drop you but it can raise prices.
3. **Conditionally renewable:** The company can decide not to renew your policy, perhaps when you most need it, or it can raise prices and add conditions at any time.